# WARRANTY ATLAS · South Dakota (SD)

Law last amended: 2023 (eff. 2023-07-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-02

Cites: S.D. Codified Laws § 32-6B-61 (rate/compensation); S.D. Codified Laws § 32-6B-58 (claims, audit); S.D. Codified Laws §§ 32-6B-58.2, -58.3 (chargeback limits); S.D. Codified Laws § 32-6B-85 (civil action); S.D. Codified Laws § 32-6B-59 (department injunction)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 32-6B-61 |
| **Mfr-backed service contract** | **Not addressed** | - | § 32-6B-58 |
| **CPO warranty** | **Not addressed** | - | § 32-6B-58 |
| **Independent service contract** | **Not addressed** | - | § 32-6B-61 |

Hourly rate: Floor: the hourly rate 'may not be less than the rate charged by the dealer for like service to nonwarranty customers'. The manufacturer 'shall rely on the vehicle dealer's written schedule of hourly labor rates'. No transaction-by-transaction proof may be required. There is no repair-order count or submission formula.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: no rule in statute. Written notice of disapproval within the 30-day period (no statement of reasons required by text). | § 32-6B-58 |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. Claims rejected for technical reasons may be put into proper form; a claim resubmitted 'within thirty days after the receipt of t… | |
| **Chargebacks** | 12 months; fraud: 2 years from actual or constructive notice of the facts constituting…. Chargeback only of 'unsubstantiated' claims (§ 58); no chargeback of a paid/approved claim if repair was covered, corrected the defect, was documented, and followed reasonable written requirements known before the claim (§ 58.2); chargeback allowed only if fa… | § 32-6B-58; see §§ 32-6B-58.2, -58.3 |
| **Rate resubmission** | Silent. Sample: No statutory labor-rate sample. Excluded: none listed. | § 32-6B-61 |
| **Mfr response** | Silent; no response = approved: no rule in statute. Challenge: | |
| **Penalties** | Dealer injured by a violation of §§ 32-6B-45 to -83 may sue to enjoin (no need to prove irreparable injury) and recover actual damages, costs, disbursements and reasonable attorney fees, notwithstanding any agreement or waiver. Department of Revenue may seek a temporary/permanent injunction in circuit court, without bond (§ 32-6B-59)…. | S.D. Codified Laws §§ 32-6B-85, 32-6B-59 |
| **Audit procedures** | Audit climate score 27/100 (Moderate restrictiveness; chargeback limits 27/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 32-6B-58): "shall pay all claims made by a vehicle dealer for the labor and parts within thirty days following their approval. The franchisor, component manufacturer, or manufacturer shall either approve or disapprove the claim within thirty days after its receipt."*
***Chargebacks*** *(§ 32-6B-58; see §§ 32-6B-58.2, -58.3): "has the right to audit any vehicle dealer claim for a period of one year after the claim is paid to the dealer and to charge back to the new vehicle dealer the amount of any unsubstantiated claim."*
***Rate*** *(§ 32-6B-61): "shall rely on the vehicle dealer's written schedule of hourly labor rates and parts and may not obligate any vehicle dealer to engage in unduly burdensome documentation thereof"*
***Factory time*** *(§ 32-6B-61): "Time allowances for diagnosis and performance of warranty work and service shall be adequate for the work to be performed. The hourly labor rate paid to the dealer for warranty services may not be less than the rate charged…"*

## Notes

No 'deemed approved' rule for a late original decision: § 58 requires a decision in 30 days, but the only deemed-approval language covers a claim 'resubmitted ... within thirty days after the receipt of the claim' (ambiguous drafting). Same claim/audit terms apply to component manufacturers and to separately warranted engines/transmissions/rear axles on commercial medium/heavy-duty vehicles at any authorized repair facility (§ 32-6B-58.1). Incentive audits limited to 1 year (§ 32-6B-69.1). Time allowances must be 'adequate' (not 'reasonable and adequate'). Parts floor = current retail rate.

Source: official · https://sdlegislature.gov/Statutes/32-6B-61 (full chapter via https://sdlegislature.gov/api/Statutes/32-6B.html?all=tru… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.